

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-17

SAMSUNG ELECTRONICS AMERICA, INC.,

COMPLAINANT,

v.

ORIENT OVERSEAS CONTAINER LINE, LIMITED
AND OOCL (EUROPE) LTD.

RESPONDENTS.

COMPLAINANT’S MOTION TO DISMISS
RESPONDENTS’ COUNTERCLAIM

Complainant Samsung Electronics America, Inc. (“Complainant” or “SEA”), by its undersigned attorneys, respectfully submits this Motion to Dismiss the joint counterclaim of Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, “OOCL” or “Respondents”) as the counterclaim fails to allege facts sufficient to support the jurisdiction of the Federal Maritime Commission (the “Commission”) over the counterclaim and fails to allege facts sufficient to establish a claim under 46 U.S.C. § 41102(a).

INTRODUCTION

On March 28, 2024, Complainant filed its Verified Complaint (Document No. 01) against OOCL asserting that Respondents, as ocean common carriers subject to the Commission’s jurisdiction, had engaged in a pattern of conduct in violation of the Shipping Act of 1984, 46

U.S.C. § 40101, *et. seq.* (the “Shipping Act”). Respondents filed a Motion to Dismiss the Complaint (Doc. No. 10) on May 13, 2024, which was partially granted on November 18, 2024 (Doc. No. 16). Pursuant to this tribunal’s November 18, 2024 ruling, Complainant filed its Amended Complaint on December 2, 2024. On December 12, 2024, Respondents filed their Answer to the Amended Complaint and included a counterclaim against SEA alleging a violation of 46 U.S.C. § 41102(a).

Section 41102(a), titled “Obtaining Transportation at Less Than Applicable Rates,” provides that:

A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

46 U.S.C. § 41102(a).

The gravamen of OOCL’s counterclaim is that SEA, by filing a complaint with the Commission alleging that OOCL’s assessment of detention and demurrage was a violation of the Shipping Act and asserting its right to reparations, SEA has “knowingly and willfully engaged in a unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply, all in violation of 46 U.S.C. § 41102(a) of the Shipping Act.” OOCL Counterclaim, ¶ 42; see also OOCL Counterclaim ¶ 41.

However, OOCL has failed to plead sufficient factual allegations to support its counterclaim with respect to any of the elements that constitute a Section 41102(a) claim. The counterclaim does not allege any facts that SEA attempted, either successfully or otherwise, to obtain ocean transportation, or that any such attempts were by any cognizably false, unjust, or unfair means, or that any such attempts were conducted knowingly and/or willfully, directly or indirectly. Moreover, SEA’s litigation and pre-litigation activity is precisely the type of activity

that is immunized by the *Noerr-Pennington* doctrine (which OOCL invoked in its own motion to dismiss). In short, Respondents have utterly failed to state a claim upon which relief can be granted and the counterclaim should be dismissed.

LEGAL STANDARD

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for Motions to Dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules to the extent that the application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12.

"In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case-law interpreting it." *Cornell v. Princess Cruise Lines, Ltd.*, FMC Dkt. No. 13-02, 2014 WL 5316340 at *6 (FMC Aug. 28, 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008 at *11 (FMC, Aug. 1, 2011)); *see also* *MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, FMC Dkt. No. 16-16, 2020 WL 6445041 at *5 (FMC, Oct. 29, 2020) (stating that the Commission looks to Rule 12(b)(6) when considering dismissals for failure to state a claim). The Commission ruled in *Mitsui* that

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). ... The complaint must be sufficient to "give the defendant fair notice of what the ... claim is and the grounds upon which it rests." *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); *see also* 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* §1215 (3d ed. 2010) ("[T]he test of a complaint's sufficiency simply is whether the document's allegations are detailed and informative enough to enable the defendant to respond.").

Mitsui, 2011 WL 7144008 at *12. Thus, a “pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (citing *Twombly*, 550 U.S. at 555). And “[t]he Commission need not ...accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint. Moreover, the Commission need not accept legal conclusions cast in the form of factual allegations.” *Cornell*, 2014 WL 5316340 at *7.

Further, heightened pleading requirements apply to any claim alleging fraudulent conduct, as in the case of a claim alleging unjust or unfair devices under 46 U.S.C. § 41102(a). While Rule 62(a)(3)(iii) of the Commission’s Rules is similar to FRCP 8’s requirement for a “short and plain statement of the claim showing the pleader is entitled to relief,” the Commission has no specific rule regarding allegations of fraud or mistake. Accordingly, pursuant to Rule 12 of the Commission’s Rules, the Commission may refer to FRCP 9(b), which establishes a heightened pleading standard for claims involving fraud. *See Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc. et al*, 2011 WL 7144008, at *35, 38 (Commissioner Khouri, concurring in part, dissenting in part, “as a matter of fundamental fairness,” a complaint under § 41102(a) must be plead with sufficient particularity in conformity with FRCP 9(b).)

FRCP 9(b) provides that “[i]n alleging fraud or mistake, a party must state with particularity the circumstances constituting fraud or mistake.” The purpose of requiring particularity with respect to fraud claims is (1) to provide the defendant with fair notice of the plaintiff’s claim, (2) to safeguard a defendant’s reputation from improvident charges of wrongdoing, and (3) to protect a defendant against the institution of a strike suit. *Wood ex rel. U.S. v. Applied Research Assocs., Inc.*, 328 Fed. Appx. 744, 747 (2d. Cir. 2009); *see also Harrison v. Westinghouse Savannah River Co.*, 176 F.3d 776, 784 (4th Cir. 1999) (citation omitted). Thus,

claims involving such allegations must meet an “elevated pleading standard.” *Ashcroft v. Iqbal*, 556 U.S. 662, 686–87 (2009).

This elevated pleading standard means that claims that include an element of fraud are subject to more stringent review on motions to dismiss. To satisfy Rule 9(b), “the plaintiff must allege (1) ‘the time, place, and content of the alleged misrepresentation,’ (2) ‘the fraudulent scheme,’ (3) the defendant’s fraudulent intent, and (4) the resulting injury.” *Smith v. Gen. Motors LLC*, 988 F.3d 873, 883 (6th Cir. 2021) (quoting *Wall v. Michigan Rental*, 852 F.3d 492, 496 (6th Cir. 2017)); see also *Cooper v. Pickett*, 137 F.3d 616, 627 (9th Cir. 1997) (requiring a plaintiff making a fraud claim to allege the “who, what, where, when, and how” of the alleged misconduct).

ARGUMENT

OOCL’s counterclaim fails to allege sufficient facts to state a claim against SEA for violation of Section 41102(a) of the Shipping Act.

To plead a violation of Section 41102(a) (previously known as section 10(a)(1))¹, a claimant must plead facts supporting three elements: (1) knowing and willful conduct; (2) through which, either “directly or indirectly,” by means of the actions enumerated in the statute or through “any other unjust or unfair device or means;” (3) the party obtained or attempted to obtain ocean transportation at lesser rates. *OC Int’l Freight, Inc.*, FMC Dkt. No. 12-01, 2014 WL 5316336, at *4, (FMC July 31, 2014). OOCL fails to adequately plead any of those elements.

¹ The Federal Maritime Commission issued a rule on October 1, 2009 recodifying the Shipping Act of 1984 (74 FR 50713) in which Section 10(a)(1) was redesignated 46 U.S.C. § 41102(a). Older Commission decisions reference the original section number in the Shipping Act.

I. OOCL DOES NOT ALLEGE KNOWING AND WILLFUL CONDUCT BY SEA

The first element of §41102(a), knowing and willful conduct, is established if the party had knowledge of the facts of the violation and acted either intentionally or with reckless disregard, plain indifference, or purposeful or obstinate behavior akin to gross negligence. Conduct is knowing and willful if it was carried out purposely or obstinately, or with gross recklessness, heedlessness, or a callous disregard for the consequences or plain indifference to the law's requirements. *Rana v. Michelle Franklin, d.b.a. "The Right Move"*, 5 F.M.C.2d 7, 19-20 (FMC May 25, 2022) (citations omitted).

Here, OOCL does not allege any knowing or willful conduct by SEA in connection with SEA obtaining or attempting to obtain ocean transportation from OOCL at all, regardless of rate level. Rather, OOCL acknowledges that SEA was merely the consignee for shipments (OOCL Counterclaim, ¶¶ 8,9), in connection with which SEA received invoices for charges incurred in the United States (*id.* at ¶ 10), and that charges incurred by SEA were for detention and demurrage *id.* at ¶¶ 10, 18, 19, 21, 22, 24, 25, 33-35, 37, 39-42). OOCL also does not allege that SEA failed to pay its invoices. On this basis alone, OOCL's counterclaim must be dismissed.

II. OOCL DOES NOT ADEQUATELY ALLEGE FALSE OR FRAUDULENT CONDUCT

1. OOCL Fails to Plead Particularized Factual Allegations

The second element of a § 41102(a) claim requires factual allegations that the subject party used false billing, classification, measurements or report thereof, or any other unjust or unfair device or means to obtain ocean transportation at less than otherwise applicable rates. *Rana*, 5 F.M.C.2d at 20 (citations omitted). OOCL's counterclaim contains no allegation of false billing, false classification, or false measurement or reporting of cargo by SEA. Instead OOCL merely

makes the conclusory allegation that SEA employed an “unjust or unfair device or means.” OOCL Counterclaim, ¶ 42.

Under the Commission’s regulatory interpretation of “unjust or unfair device or means” in connection with Section 41102(a), to make a sufficient allegation of “unjust or unfair device or means,” a complainant must provide factual allegations establishing some element of fraud, concealment, or deceit. *Rana*, 5 F.M.C.2d at 20-21 (“To establish a violation of section 41102(a), ‘fraud or concealment is a necessary ingredient in the proof of an unjust or unfair device or means.’”) (quoting *U.S. v. Open Bulk Containers*, 727 F.2d 1061, 1064 (11th Cir. 1984)); see also *SeaFair USA LLC v. Sterling Container Line Ltd.*, FMC Dkt. No. 22-34, 2024 WL 1741926, at *10 (ALJ Apr. 15, 2024) (same).

2. Heightened Pleading Requirements Under FRCP 9(b) Apply to OOCL’s Claim

With respect to Motions to Dismiss, because OOCL’s Section 41102(a) claim requires an element of fraud or concealment, OOCL is subject to Federal Rule of Civil Procedure 9(b)’s heightened pleading standard regarding the circumstances of the alleged fraud or concealment. Where a claim, whatever its title, “sounds in fraud,” meaning it is premised upon a course of fraudulent conduct, courts uniformly require plaintiffs to meet Rule 9(b)’s heightened pleading requirements. See, e.g., *Kolominsky v. Root, Inc.*, 100 F.4th 675, 683-684 (6th Cir. 2024) (applying Rule 9(b) to Securities Act of 1933 claim where the claims were grounded in materially false and misleading statements and omissions, thus requiring the FRCP 9(b) pleading standard); *In re BP Lubricants USA Inc.*, 637 F.3d 1307 (Fed. Cir. 2011) (applying Rule 9(b) to False Marking Statute claim based on alleged use of expired patent marking); *Rombach v. Chang*, 355 F.3d 164 (2d Cir. 2004) (requiring pleadings to meet the standard of Rule 9(b) when premised on allegations of fraud).

To meet the FRCP 9(b) standard, “a complaint must ‘(1) specify the statements that the plaintiff contends were fraudulent, (2) identify the speaker, (3) state where and when the statements were made, and (4) explain why the statements were fraudulent’.” *Wood ex rel. U.S.*, 328 Fed. Appx. at 747. In other words, to state its claim under § 41102(a), OOCL must allege the “who, what, where, when, and how” of the alleged misconduct. *Cooper v. Pickett*, 137 F.3d 616, 627 (9th Cir. 1997). OOCL has not done so.

Indeed, OOCL does not allege fraudulent actions or false statements by SEA in its counterclaim, much less where and when any such actions or statements were made, or how any such actions or statements would be fraudulent. Thus, the counterclaim falls far short of the FRCP 9(b) pleading standard.

3. *OOCL’s Allegations Fail to Meet the Commission’s Pleading Standard*

Even if the Commission were to ignore the heightened pleading standard required under FRCP 9(b), OOCL’s counterclaim fails to meet even the Commission’s general pleading standard under the Commission’s Rule 62(a)(3)(iii), as its allegations do not inform SEA with reasonable definiteness of the acts or practices alleged to be in violation of § 41102(a).

The substance of OOCL’s allegation is that SEA’s engaged in some “unfair and unjust device” to obtain ocean transportation at rates lower than those that would typically apply is that SEA: (1) demanded refunds of charges it contends were unlawfully imposed upon it; (2) demanded that OOCL waive future charges that it views as unlawful but OOCL contends would be lawful; and (3) filed a Verified Complaint with the Commission on March 28, 2024. *See* OOCL Counterclaim, ¶ 42. But at no point does OOCL allege how SEA’s exercise of its right to seek reparations under the Shipping Act is “unjust, unfair,” or otherwise unlawful, or equates to an unlawful attempt to obtain ocean transportation at lower than standard rates.

OOCL points to SEA's early demand letter, in which SEA clearly communicated its right to and demand of reparations. However, much like the response letter written by Respondents in *SeaFair USA LLC v. Sterling Container Line Ltd.*, FMC Dkt. No. 22-34, 2024 WL 1741926, at *10 (ALJ April 15, 2024), such information was openly communicated to OOCL and cannot plausibly be presented as evidence of fraud or concealment.

4. *Legal Proceedings Cannot Constitute Unfair or Unjust Devices*

In a prior legal proceeding before the Commission involving SEA, a claim that the initiation of complaint proceedings somehow constituted an unfair or unjust means of obtaining ocean transportation at less than the rates or charges that would otherwise apply was readily found insufficient to satisfy the pleading requirements for counterclaims, crossclaims, and third-party complaints under 46 U.S.C § 502.62(b)(4).

Specifically, in *Samsung Electronics America v. SM Line Corp.*, Dkt. No. 23-01, pg 3, *Order Denying Motion for Leave to File Third Party Complaint* (Jan. 31, 2024), Your Honor held as follows:

Count II of the proposed third-party complaint alleges a violation of § 41102(a), which prohibits a person from knowingly and willfully obtaining ocean transportation at less than the rates or charges that would otherwise apply by means of false billing, classification, weighing, measurement, “or any other unjust or unfair means.” 46 U.S.C. § 41102(a). Count II...argues...that SEA’s complaint in this case is an unjust or unfair means of obtaining ocean transportation at less than the applicable rate. ...[N]o authority has been cited for the unlikely proposition that a complaint alleging a Shipping Act violation – one found to be meritorious, as it would have to be for SEA and third-party respondents to success [sic] in their alleged “scheme” – is itself a violation of § 41102(a). Count II similarly does not satisfy the requirements of Rule 62(b)(4).

As with the argument brought by Respondent SM Line in that matter, in this instant case, OOCL’s argument that the public filing of a Shipping Act complaint be deemed a “unjust or unfair device or means” to achieve lower ocean transportation shipping rates, is unsupported, unlikely,

and insufficient. Accordingly, OOCL's counterclaim under § 41102(a) must necessarily be dismissed.

III. OOCL FAILS TO ALLEGE THE ELEMENT OF OCEAN TRANSPORTATION

While the foregoing is more than sufficient to dismiss the counterclaim, OOCL has also failed to allege that SEA obtained or tried to obtain ocean transportation for less than the rates or charges that would normally apply.

Specifically, OOCL has not alleged that SEA shipped any cargo overseas, that SEA generated any bills of lading, that SEA was the owner of any cargo, that SEA obtained or attempted to obtain any ocean transportation, what rates should have been paid in connection with any cargo, or that SEA paid actual rates lower than such rates. Indeed, OOCL fails to make any allegation sufficient to support its counterclaim, all of which would be required to state a cognizable claim under § 41102(a). *See, e.g., Dukart v. Ocean Star Int'l Inc. dba Int'l Van Lines*, 2 F.M.C.2d 118, 128 (ALJ July 10, 2020).

Rather, OOCL clearly concedes that SEA was the cargo consignee, not the owner or the shipper (OOCL Counterclaim, at ¶¶ 8, 9), that SEA incurred detention and demurrage charges in connection with the receipt of the cargo (*id.* at ¶¶ 10, 18, 19, 21, 22, 24, 25, 33, 34, 35, 37, 39-42), and that OOCL blames SEA and unnamed trucking companies for incurring those charges (*id.* at ¶¶ 13, 21-24, 33-37, 39-41). Beyond the formulaic, conclusory recitation of § 41102(a) in paragraph 42 of its Counterclaim, at no point does OOCL make any allegation that SEA attempted to obtain, or actually obtained, any ocean transportation; nor does OOCL describe any manner in which SEA would be deemed to have done so.

The obvious lack of factual allegations supporting its claim that SEA violated § 41102(a) by “knowingly and willfully, directly or indirectly, by... unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would

otherwise apply” is fatal to OOCL’s counterclaim. Simply put, OOCL’s counterclaim lacks sufficient factual allegations to state any plausible claim under 46 U.S.C. § 41102(a).

IV. OOCL’S COUNTERCLAIM IS BARRED BY THE *NOERR-PENNINGTON* DOCTRINE

OOCL’s counterclaim fails for a separate and independent reason under the so-called “*Noerr-Pennington* doctrine.” OOCL alleges that “[i]n demanding refunds of charges ... *and bringing legal proceedings against OOCL and other ocean carriers* in an attempt to seek recovery of demurrage, detention and other charges which have been properly assessed to SEA by virtue of its own acts and omissions, SEA has knowingly and willfully engaged in an unjust or unfair device or means to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.” OOCL Counterclaim, ¶ 42 (emphasis added). But such conduct is protected by the *Noerr-Pennington* doctrine. In *Sosa v. DIRECTV, Inc.* – ironically relied upon by OOCL in its unsuccessful motion to dismiss SEA’s complaint – the Ninth Circuit stated that “in the litigation context, not only petitions sent directly to the court in the course of litigation, but also ‘conduct incidental to the prosecution of the suit’ is protected by the *Noerr-Pennington* doctrine.” 437 F.3d 923, 934-35 (9th Cir. 2006). The Ninth Circuit further cautioned that “[u]nder the *Noerr-Pennington* rule of statutory construction, we must construe federal statutes so as to avoid burdening conduct that implicates the protections afforded by the Petition Clause unless the statute clearly provides otherwise.” *Id.* Other courts have routinely immunized litigation and threatened litigation under this doctrine. See, e.g., *PrimeTime 24 Joint Venture v. Nat’l Broadcasting Co.*, 219 F.3d 92 (2d Cir. 2000) (presuit challenges to signal strength determinations by satellite broadcasters within *Noerr-Pennington* doctrine’s protections). And “[t]his immunity extends to persons who petition all types of government entities — legislatures, administrative agencies, and courts.” *Cheminor Drugs, Ltd. v. Ethyl Corp.*, 168 F.3d 119, 122 (3d Cir. 1999). Thus, the alleged

SEA conduct cited by OOCL as the basis for its Section 41102(a) counterclaim is *precisely* the type of litigation-related activity that is protected by the *Noerr-Pennington* doctrine. OOCL's counterclaim must therefore be dismissed as an improper impingement upon SEA's Petition Clause protections.

CONCLUSION

As shown above, OOCL's counterclaim is plainly frivolous. The only possible reason for burdening this tribunal and SEA with such an obviously meritless counterclaim is as an improper tactic to delay this litigation and drive up the costs of the proceeding for SEA; all contrary to the Commission's Rules and precedents.

Accordingly, pursuant to 46 C.F.R. §§ 502.69, 502.70, and 502.254, Complainant SEA respectfully moves for an Order: dismissing with prejudice OOCL's counterclaim in its entirety; and striking Respondents' prayer for a cease-and-desist order and request for attorney fees; and further requests that the Order grant SEA its attorneys' fees in connection with this Motion to Dismiss; and grant all such other and further relief as may be just and proper.

Dated: January 6, 2025

Respectfully Submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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